

MARCHWOOD ASSET MANAGEMENT LLC

1717 Walnut Street, Suite 2200 · Philadelphia, PA 19103

June 2, 2011

Mr. Desmond Whitlatch
Senior Examiner
United States Securities and Exchange Commission
Philadelphia Regional Office
701 Market Street, Suite 2000
Philadelphia, PA 19106

Re: Examination No. 2011-0447 — Item 4 (Custody) — corrective action and undertaking

Dear Mr. Whitlatch:

This letter is Marchwood Asset Management LLC's complete response to Item 4 of the staff's deficiency letter of April 20, 2011, and follows the conference call of June 1, 2011.

1. Marchwood accepts Item 4

Marchwood accepts Item 4 of the deficiency letter. Marchwood does not ask the staff to revisit its position and does not reserve the legal question raised in our interim response of May 19, 2011 for any purpose in relation to this examination.

2. Corrective action already taken

Effective June 1, 2011, all 214 affected client accounts have been transferred to Signal Peak Trust Company, a qualified custodian unaffiliated with Marchwood, under custodial agreements that give Marchwood no authority to withdraw funds or securities. Signal Peak will bill and remit advisory fees only on the client's own standing instruction, given by the client directly to Signal Peak, with a copy of the fee calculation delivered to the client each quarter.

We have discontinued the direct fee-debit instruction described in Item 4 firm-wide. We will not resume it. Section 6(c) has been removed from Marchwood's standard investment advisory agreement in its entirety rather than narrowed to advisory fees, and the 214 affected clients have been re-papered onto the revised agreement.

Corrective action	Status at the date of this letter
Accounts transferred to a qualified custodian without adviser withdrawal authority	214 of 214 complete, effective June 1, 2011
Direct fee-debit instruction discontinued firm-wide	Complete
Section 6(c) removed from the standard advisory agreement	Complete
Affected clients re-papered onto the revised agreement	214 of 214 complete
Custody procedure added to the compliance manual	Complete; adopted with the revised manual on May 12, 2011

Corrective action	Status at the date of this letter
Independent public accountant engaged for the calendar year 2011 surprise examination	Quillen and Marsh LLP, engaged May 27, 2011

3. Undertaking

Marchwood further undertakes to apply this same treatment to any advisory accounts it acquires or onboards in the future, and to obtain the surprise examination required by Rule 206(4)-2(a)(4) by an independent public accountant, with the corresponding Form ADV-E filing, for any period in which Marchwood is deemed to have custody of client funds or securities. This undertaking is not limited to calendar year 2010 or to any other period and is given without an expiration date.

For the avoidance of doubt, the undertaking in the preceding paragraph applies to accounts acquired as part of a purchase of another adviser's book of business, to accounts transferred in from a predecessor adviser, and to newly opened accounts, in each case whether or not an examination is then open and whether or not the staff has made any request.

4. Surprise examination

Quillen and Marsh LLP has been engaged to perform a surprise examination for calendar year 2011 at a time of the accountant's choosing, and the Form ADV-E will be filed within 120 days of the examination date. Marchwood accepts that the calendar year 2010 examination cannot now be performed and does not propose to reconstruct it. Marchwood will provide the staff with a copy of the accountant's certificate when filed, and will amend Items 9.A.(1)(a) and 9.A.(1)(b) of Part 1 of its Form ADV at the next annual updating amendment to reflect the position for the period during which the arrangement was in force.

5. Request

Please treat this letter as the corrective action commitment on which the staff's closing of examination 2011-0447 is conditioned.

Marchwood appreciates the way the staff has handled this examination and is available for any further discussion the staff considers useful.

Respectfully submitted,

/s/ Marguerite Vasseur-Kyle

Marguerite Vasseur-Kyle

Chief Compliance Officer

Marchwood Asset Management LLC

/s/ Alistair Penhaligon

Alistair Penhaligon

Managing Member

Marchwood Asset Management LLC

cc: R. Achterberg, U.S. Securities and Exchange Commission; W. Tirado, Tirado Hobbs LLP